

Chatbots: Conducting Intelligent Conversations *with* Customers

Chatbots are increasingly playing a role in e-commerce and the services sector. Their use has many advantages in terms of economy, efficiency and dependable service. This article explores how chatbots work.

Many experts have described 2016 as 'The year of the chatbots'. Thousands of chatbots are today helping businesses to improve customer service, sell more and increase their earnings. These chatbots are being used to carry out a number of business tasks in the e-commerce, insurance, banking, healthcare, finance, legal, telecom, logistics, retail, auto, travel, sports, entertainment and other fields. One report predicts that more than 85 per cent of customer interactions will be managed without humans by 2020.

A chatbot is a computer program or artificial intelligence that conducts a conversation using auditory or textual methods. Such programs are often designed to convincingly simulate how a human would behave as a conversational partner, thereby passing the Turing test.

Today, chatbots are intelligent assistants for human beings. They can perform several human tasks like managing calendars, making reservations, booking tickets, placing food orders, etc. With smart homes, voice assistants (like Amazon Alexa and Google Home) will soon be able to perform many more actions. In fact, between 2016 and 2021, the chatbot market is expected to grow at a compound annual growth rate (CAGR) of 35.2 per cent.

Platforms for building chatbots

In 1994, Michael Mauldin coined the term 'Chatter Bot' to describe conversational programs or chatting robots, and this got shortened to chatbot. Today, most chatbots are accessed using voice assistants like Google Assistant and Amazon Alexa or through messaging apps such as Facebook Messenger or WeChat.

Currently, there are a lot of platforms for building chatbots. Though not necessarily open source, these are being built by developers using open source technologies. IBM Watson, Microsoft Bot framework, LUIS, Wit.ai, Api.ai and Chat Fuel are some of the best known platforms for building chatbots. Let's take a look at some of these platforms.

IBM Watson: It's estimated that nearly 61 per cent of the chatbot based business solutions are today being developed on the IBM Watson bot-building platform. One of Watson's most important components is conversation services. It is built on a neural network, understands intentions, interprets dialogues, supports English and Japanese, and provides tools like the SDKs for Java, Python, iOS and Unity. IBM offers free, standard premium plans.

